

Performance appraisal is defined as evaluating an employee's current or past performance relative to his or her performance standards. The appraisal process therefore involves: (1) setting work standards; (2) assessing the employee's actual performance relative to these standards; and (3) providing feedback to the employee with the aim of motivating that person to eliminate performance deficiencies or to continue to perform above par. You've probably already had experience with performance appraisals. For example, some colleges ask students to rank instructors on scales like the one in Figure 9-1. Do you think this is an effective scale? Do you see any way to improve it? These are two of the questions you should be better able to answer by the end of this chapter.

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APPRAISAL METHODS

The appraisal itself is generally conducted using a predetermined and formal method like one or more of those described in this section.

Graphic Rating Scale Method

graphic rating scale

A scale that lists a number of traits and a range of performance for each. The employee is then rated by identifying the score that best describes his or her level of performance for each trait.

The **graphic rating scale** is the simplest and most popular technique for appraising performance. Figure 9-2 shows a typical rating scale. It lists traits (such as quality and reliability) and a range of performance values (from unsatisfactory to outstanding) for each trait. The supervisor rates each subordinate by circling or checking the score that best describes his or her performance for each trait. The assigned values for the traits are then totaled.

Instead of appraising generic traits or factors (such as quality and quantity), many firms specify the duties to be appraised. For example, review Figure 9-3.⁵ It shows an appraisal form for the position of administrative secretary. In this case the job's five main sets of duties have been taken from the job description and prioritized. Importance ratings are thus indicated as percentages at the top of each of the five categories (key boarding, reception, and so on). There is also space on the form for comments and for evaluation of general performance attributes like reporting for work on time and observing work rules.

Performance Appraisal

Employee Name _____ Title _____

Department _____ Employee Payroll Number _____

Reason for Review: ☐ Annual ☐ Promotion ☐ Unsatisfactory Performance
☐ Merit ☐ End Probation Period ☐ Other _____

Date employee began present position ____/____/____

Date of last appraisal ____/____/____ Scheduled appraisal date ____/____/____

Instructions: Carefully evaluate employee's work performance in relation to current job requirements. Check rating box to indicate the employee's performance. Indicate N/A if not applicable. Assign points for each rating within the scale and indicate in the corresponding points box. Points will be totaled and averaged for an overall performance score.**RATING IDENTIFICATION****O—Outstanding**—Performance is exceptional in all areas and is recognizable as being far superior to others.**V—Very Good**—Results clearly exceed most position requirements. Performance is of high quality and is achieved on a consistent basis.**G—Good**—Competent and dependable level of performance. Meets performance standards of the job.**I—Improvement Needed**—Performance is deficient in certain areas. Improvement is necessary.**U—Unsatisfactory**—Results are generally unacceptable and require immediate improvement. No merit increase should be granted to individuals with this rating.**N—Not Rated**—Not applicable or too soon to rate.

GENERAL FACTORS	RATING SCALE	SUPPORTIVE DETAILS OR COMMENTS
1. Quality —The accuracy, thoroughness and acceptability of work performed.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
2. Productivity —The quantity and efficiency of work produced in a specified period of time.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
3. Job Knowledge —The practical/technical skills and information used on the job.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
4. Reliability —The extent to which an employee can be relied upon regarding task completion and follow up.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
5. Availability —The extent to which an employee is punctual, observes prescribed work break/meal periods and the overall attendance record.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____
6. Independence —The extent of work performed with little or no supervision.	O ☐ 100–90 V ☐ 90–80 G ☐ 80–70 I ☐ 70–60 U ☐ below 60	Points _____ _____ _____

FIGURE 9-2 One Page of a Two-Page Graphic Rating Scale with Space for Comments

Forced Distribution Method

forced distribution method

Similar to grading on a curve; predetermined percentages of ratees are placed in various performance categories.

The **forced distribution method** is similar to grading on a curve. With this method, predetermined percentages of ratees are placed in performance categories. For example, you may decide to distribute employees as follows:

15% high performers

20% high-average performers

30% average performers

20% low-average performers

15% low performers

(although the proportions in each category need not be symmetrical). As at school, forced distribution means not everyone can get an "A", and that one's performance is always

rated relative to one's peers. One practical way to do this is to write each employee's name on a separate index card. Then, for each trait being appraised (quality of work, creativity, and so on), place the employee's card in one of the appropriate performance categories.

AN EXAMPLE Merck and Company, with about 31,000 employees, has used forced distribution for all exempt employees who receive merit pay increases based on their performance ratings.

Merck's reason for using forced distribution is informative.⁶ It was instituted when the firm found that 80% of its exempt employees were receiving ratings of four and above on the five-point scale. In other words, employees who had significant accomplishments were getting only slightly higher ratings than were those who did a good but not an extraordinary job. As a result, neither the performance appraisal system nor the merit pay plan had the effects on motivation that Merck wanted. The new program's purpose was to provide for greater differentiation among employees, so outstanding employees could be identified.

At Merck, all exempt employees now receive an annual performance appraisal in December. They meet with their supervisors to review their accomplishments for the year (relative to previously established goals) and receive one of five ratings: EX (exceptional), WD (with distinction), HS (high Merck standard), RI (room for improvement), and NA (not acceptable).

Predetermined percentages of a manager's subordinates must fall in each of the five categories. For example, 5% of the department's employees can receive EX ratings, 15% can receive WD ratings, and the vast majority—70%—should fall in the "high Merck standard" middle level of the range. In other words, this system forces the supervisor to identify no more than 20% of his or her exempt employees as above average when compared with their Merck peers.

The program is working well because Merck has worked hard to overcome forced distribution's inherent problems. For example, it's not realistic to force a manager with only four or five employees to distribute them into five classes. Therefore, Merck uses a roll-up system. Here several departments in the same division are reviewed together for the purpose of meeting the percentage distribution requirements of the rating system. (At each roll-up meeting, the supervisor can argue for two of the employees receiving an EX rating.) The big problem, however, was getting employees who viewed themselves as high achievers to understand that getting an HS (high Merck standard) doesn't equate to getting a "C" on a report card.

At Merck (or when rating college students, for that matter), there is always the question of whether the person's absolute or relative performance should be appraised. On balance however, Merck's relative performance approach has been successful, particularly in helping Merck identify high achievers and reward them.

Critical Incident Method

critical incident method

Keeping a record of uncommonly good or undesirable examples of an employee's work-related behavior and reviewing it with the employee at predetermined times.

With the **critical incident method**, the supervisor keeps a log of desirable or undesirable examples or incidents of each subordinate's work-related behavior. Then every 6 months or so, the supervisor and subordinate meet and discuss the latter's performance using the specific incidents as examples.

This method has several advantages. It provides you with specific hard examples of good and poor performance for explaining the appraisal. It ensures that you think about the subordinate's appraisal all during the year because the incidents must be accumulated; therefore, the rating does not just reflect the employee's most recent performance (we'll return to this important point below). Keeping a running list of critical incidents should also provide concrete examples of what specifically your subordinate can do to eliminate any performance deficiencies. However, this method is not too useful by itself for comparing employees or for making salary decisions.

You can adapt the critical incident method to the specific job expectations laid out for the subordinate at the beginning of the year. Thus, in the example presented in Table 9-1, one of the assistant plant manager's continuing duties was to supervise procurement and to minimize inventory costs. The critical incident shows that the assistant plant manager let inventory storage costs rise 15%; this provides a specific example of what performance must be improved in the future.

Narrative Forms

TABLE 9-1 Examples of Critical Incidents for an Assistant Plant Manager

CONTINUING DUTIES	TARGETS	CRITICAL INCIDENTS
Schedule production for plant	Full utilization of personnel and machinery in plant; orders delivered on time	Instituted new production scheduling system; decreased late orders by 10% last month; increased machine utilization in plant by 20% last month
Supervise procurement of raw materials and inventory control	Minimize inventory costs while keeping adequate supplies on hand	Let inventory storage costs rise 15% last month; overordered parts "A" and "B" by 20%; underordered part "C" by 30%
Supervise machinery maintenance	No shutdowns due to faulty machinery	Instituted new preventative maintenance system for plant; prevented a machine breakdown by discovering faulty part

behaviorally anchored rating scale (BARS)

An appraisal method that aims at combining the benefits of narrative critical incidents and quantified ratings by anchoring a quantified scale with specific narrative examples of good and poor performance.

Behaviorally Anchored Rating Scales

A behaviorally anchored rating scale (BARS) combines the benefits of narratives, critical incidents, and quantified ratings (such as graphic rating scales) by anchoring a quantified scale with specific behavioral examples of good or poor performance, as in Figure 9-7. Its proponents claim that it provides better, more equitable appraisals than do the other tools we discussed.⁸

Developing a BARS typically requires five steps:⁹

1. Generate critical incidents. Determine

SALESMANSHIP SKILLS

Skillfully persuading prospects to join the navy; using navy benefits and opportunities effectively to sell the navy; closing skills; adapting selling techniques appropriately to different prospects; effectively overcoming objections to joining the navy.

9

A prospect stated he wanted the nuclear power program or he would not sign up. When he did not qualify, the recruiter did not give up; instead, he talked the young man into electronics by emphasizing the technical training he would receive.

8

The recruiter treats objections to joining the navy seriously; he works hard to counter the objections with relevant, positive arguments for a navy career.

7

When talking to a high school senior, the recruiter mentions names of other seniors from that school who have already enlisted.

6

When an applicant qualifies for only one program, the recruiter tries to convey to the applicant that it is a desirable program.

5

When a prospect is deciding on which service to enlist in, the recruiter tries to sell the navy by describing navy life at sea and adventures in port.

4

During an interview, the recruiter said to the applicant, "I'll try to get you the school you want, but frankly it probably won't be open for another three months, so why don't you take your second choice and leave now."

3

The recruiter insisted on showing more brochures and films even though the applicant told him he wanted to sign up right now.

2

When a prospect states an objection to being in the navy, the recruiter ends the conversation because he thinks the prospect must not be interested.

1

then cluster the incidents into a

APPRAISING PERFORMANCE: PROBLEMS AND SOLUTIONS

Few of the things a manager does are fraught with more peril than appraising subordinates' performance. Employees in general tend to be overly optimistic about what their ratings will be and also know that their raises, career progress, and peace of mind may well hinge on how they are rated. This alone should make it somewhat difficult to rate performance; even more problematical, however, are the numerous technical problems that can cast serious doubt on just how fair the whole process is. In this section we therefore turn to some of the main appraisal problems and how to solve them, as well as to several other pertinent appraisal issues.

Dealing with Rating Scale Appraisal Problems

Most employers still depend on graphic-type rating scales to appraise performance, but these scales are especially subject to several appraisal problems. Specifically, five main problems can undermine appraisal tools such as graphic rating scales: unclear standards, halo effect, central tendency, leniency or strictness, and bias.

unclear performance standards

An appraisal scale that is too open to interpretation; instead include descriptive phrases that define each trait and what is meant by standards like "good" or "unsatisfactory."

UNCLEAR STANDARDS The problem of **unclear standards** is illustrated in Table 9-2. Although the graphic rating scale seems objective, it would probably result in unfair appraisals because the traits and degrees of merit are open to interpretation. For example, different supervisors would probably define "good" performance, "fair" performance, and so on differently. The same is true of traits such as "quality of work" or "creativity."

There are several ways to rectify this problem. The best way is to develop and include descriptive phrases that define each trait, as in Figure 9-2. There the form specified

TABLE 9-2 A Graphic Rating Scale with Unclear Standards

	EXCELLENT	GOOD	FAIR	POOR
Quality of work				
Quantity of work				
Creativity				
Integrity				

Note: For example, what exactly is meant by "good," "quantity of work," and so forth?

what was meant by "outstanding," "superior," and "good" quality of work. This specificity results in appraisals that are more consistent and more easily explained.

halo effect

In performance appraisal, the problem that occurs when a supervisor's rating of a subordinate on one trait biases the rating of that person on other traits.

HALO EFFECT Halo effect has been defined as "the influence of a rater's general impression on ratings of specific ratee qualities."¹⁸ In practice it might mean, for instance, that your rating of a subordinate on one major trait (such as "gets along with others") biases how you rate that person on other traits (such as "quantity of work"). This problem often occurs with employees who are especially friendly (or unfriendly) toward the supervisor. For example, an unfriendly employee will often be rated unsatisfactory for all traits rather than just for the trait "gets along well with others." Being aware of this problem is a major step toward avoiding it. Supervisory training can also alleviate the problem.¹⁹

central tendency

A tendency to rate all employees the same way, such as rating them all average.

CENTRAL TENDENCY Many supervisors have a **central tendency** when filling in rating scales. For example, if the rating scale ranges from 1 to 7, they tend to avoid the highs (6 and 7) and lows (1 and 2) and rate most of their people between 3 and 5. If you use a graphic rating scale, this central tendency could mean that all employees are simply rated "average." Such a restriction can distort the evaluations, making them less useful for promotion, salary, or counseling purposes. Ranking employees instead of using a graphic rating scale can avoid this central tendency problem, because all employees must be ranked and thus can't all be rated average.

strictness/leniency

The problem that occurs when a supervisor has a tendency to rate all subordinates either high or low.

LENIENCY OR STRICTNESS Some supervisors tend to rate all their subordinates consistently high (or low), just as some instructors are notoriously high graders and others are not. This **strictness/leniency** problem is especially serious with graphic rating scales, because supervisors aren't necessarily required to avoid giving all their employees high (or low) ratings. On the other hand, if you must rank subordinates, you are forced to distinguish between high and low performers. Thus, strictness/leniency is not a problem with the ranking or forced distribution approaches.

In fact, if a graphic rating scale must be used, it may be a good idea to impose a distribution of performance—that, say, about 10% of your people should be rated "excellent," 20% "good," and so forth. In other words, try to get a spread (unless, of course, you are sure all your people really do fall into just one or two categories).

Leniency may result from the purpose of the appraisal, as well as from the inherent leniency of the person doing the appraising. Personnel psychologists have long hypothesized that performance appraisal ratings obtained for administrative purposes (such as pay raises or promotions) would be more lenient than ratings aimed for feedback or employee development purposes.²⁰ Two researchers recently investigated this hypothesis, reviewing 22 studies of performance appraisal leniency. They concluded that: "performance appraisal ratings obtained for administrative purposes were nearly one-third of a standard deviation larger than those obtained for research or employee development purposes."²¹

Their results suggest that supervisors tend to be more lenient when appraising employees for personnel actions that have concrete outcomes for the employee—things like pay raises or promotions. On the other hand, they tend to be less lenient when the purpose of the appraisal is counseling the employee, providing feedback, correcting performance deficiencies, and other such employee development purposes, a fact the supervisor should keep in mind.

BIAS Individual differences among ratees in terms of characteristics like age, race, and sex can affect their ratings, often quite apart from each ratee's actual performance.²² In one study, for instance, researchers found a systematic tendency to evaluate older ratees (over 60 years of age) lower on "performance capacity" and "potential for development" than younger employees.²³

A study of registered nurses provides an interesting picture of how age can distort evaluations. For nurses 30 to 39 years old, they and their supervisors each rated the nurses' performance virtually the same. In the 21 to 29 category, supervisors actually rated nurses higher than the nurses rated themselves. However, for the 40 to 61 nurse age category, the supervisors rated nurses' performance lower than the nurses rated their own performance. One interpretation is that supervisors are tougher in appraising older subordinates. Specifically, they don't give them as much credit for their success, while attributing any low performance to their lack of ability.²⁴

The rater's and ratee's race can also affect the rating a person receives. One recent study was based on performance ratings received from over 20,000 bosses, 50,000 peers, and 40,000 subordinates.²⁵ The findings illustrate the interplay between the race of the rater and ratee. Researchers concluded that black raters rated black ratees higher than white ratees; that white bosses (but not white subordinates) assigned more favorable ratings to white ratees than to black ratees; and that black raters assigned higher ratings than did whites, regardless of the race of the ratees.²⁶ Such results sound a cautionary signal for employers; since over 90% of appraisal programs ask the immediate boss to take sole responsibility for appraisals, and since most bosses are white, black managers are likely to find their career progress is largely in white managers' hands. Black managers are also rated by white bosses.

THE APPRAISAL INTERVIEW

Types of Interviews

An appraisal typically culminates in an **appraisal interview**. This is an interview in which the supervisor and subordinate review the appraisal and make plans to remedy deficiencies and reinforce strengths. Interviews like these are potentially uncomfortable, since few

appraisal interview

An interview in which the supervisor and subordinate review the appraisal and make plans to remedy deficiencies and reinforce strengths.

people like to receive—or give—negative feedback.⁷³ Adequate preparation and effective implementation are therefore essential.

There are three basic types of appraisal interviews, each with its own objectives:

<i>Appraisal Interview Type</i>	<i>Appraisal Interview Objective</i>
(1) Performance is satisfactory— Employee is promotable	(1) Make development plans
(2) Satisfactory—Not promotable	(2) Maintain performance
(3) Unsatisfactory—Correctable	(3) Plan correction

If the employee is unsatisfactory and the situation uncorrectable, there is usually no need for any appraisal interview. Either the person's poor performance is tolerated for now, or he or she is dismissed.

SATISFACTORY—PROMOTABLE Here the person's performance is satisfactory and there is a promotion ahead. This is the easiest of the three appraisal interviews. Your objective is to discuss the person's career plans and to develop a specific action plan for the educational and professional development the person needs to move to the next job.

SATISFACTORY—NOT PROMOTABLE This interview is for employees whose performance is satisfactory but for whom promotion is not possible. Perhaps there is no more room in the company. Some employees are also happy where they are and don't want a promotion.⁷⁴ Your objective here is not to improve or develop the person but to maintain satisfactory performance.

This is not easy. The best option is usually to find incentives that are important to the person and enough to maintain satisfactory performance. These might include extra time off, a small bonus, additional authority to handle a slightly enlarged job, and reinforcement, perhaps in the form of an occasional "Well done!"

UNSATISFACTORY—CORRECTABLE When the person's performance is unsatisfactory but correctable, the interview objective is to lay out an action plan (as explained below) for correcting the unsatisfactory performance.

How to Prepare for the Appraisal Interview

There are three things to do in preparation for the interview.⁷⁵ First, assemble the data. Study the person's job description, compare the employee's performance to the standards, and review the files of the employee's previous appraisals. Next prepare the employee. Give your employees at least a week's notice to review their work, read over their job descriptions, analyze problems, and gather their questions and comments. Finally, choose the time and place. Find a mutually agreeable time for the interview and allow enough time for the entire interview. Interviews with lower-level personnel like clerical workers and maintenance staff should take no more than an hour. Appraising management employees often takes two or three hours. Be sure the interview is done in a private place where you won't be interrupted by phone calls or visitors.

How to Conduct the Interview

There are four things to keep in mind here:⁷⁶

1. *Be direct and specific.* Talk in terms of objective work data. Use examples such as absences, tardiness, quality records, inspection reports, scrap or waste, orders processed, productivity records, material used or consumed, timeliness of tasks

or projects, control or reduction of costs, numbers of errors, costs compared to budgets, customers' comments, product returns, order processing time, inventory level and accuracy, accident reports, and so on.

2. *Don't get personal.* Don't say, "You're too slow in producing those reports." Instead try to compare the person's performance to a standard ("These reports should normally be done within 10 days"). Similarly, don't compare the person's performance to that of other people ("He's quicker than you are").
3. *Encourage the person to talk.* Stop and listen to what the person is saying; ask open-ended questions such as "What do you think we can do to improve the situation?" Use a command such as "Go on," or "Tell me more." Restate the person's last point as a question, such as "You don't think you can get the job done?"
4. *Don't tiptoe around.* Don't get personal, but do make sure the person leaves knowing specifically what he or she is doing right and doing wrong. Give specific examples; make sure the person understands; and get agreement before he or she leaves on how things will be improved, and by when. Develop an action plan showing steps and expected results, as in Figure 9-9.

HOW TO HANDLE A DEFENSIVE SUBORDINATE Defenses are an important and familiar aspect of our lives. When a person is accused of poor performance, the first reaction will sometimes be denial. By denying the fault, the person avoids having to question his or her own competence. Others react to criticism with anger and aggression. This helps them let off steam and postpones confronting the immediate problem until they are able to cope with it. Still others react to criticism by retreating into a shell.

In any event, understanding and dealing with defensiveness is an important appraisal skill. In his book *Effective Psychology for Managers*, psychologist Mortimer Feinberg suggests the following:

1. *Recognize that defensive behavior is normal.*
2. *Never attack a person's defenses.* Don't try to "explain someone to themselves" by saying things like, "You know the real reason you're using that excuse is that you

FIGURE 9-9
Example of an
Action Plan

ACTION PLAN		
Date: May 18, 1999		
For: John, Assistant Plant Manager		
Problem: Parts inventory too high		
Objective: Reduce plant parts inventory by 10% in June		
Action Steps	When	Expected Results
Determine average monthly parts inventory	6/2	Established a base from which to measure progress
Review ordering quantities and parts usage	6/15	Identify overstock items
Ship excess parts to regional warehouse and scrap obsolete parts	6/20	Clear stock space
Set new ordering quantities for all parts	6/25	Avoid future overstocking
Check records to measure where we are now	7/1	See how close we are to objective

can't bear to be blamed for anything." Instead try to concentrate on the act itself ("sales are down") rather than on the person ("you're not selling enough").

3. *Postpone action.* Sometimes it is best to do nothing at all. People frequently react to sudden threats by instinctively hiding behind their "masks." But, given sufficient time, a more rational reaction takes over.
4. *Recognize your own limitations.* Don't expect to be able to solve every problem that comes up, especially the human ones. More important, remember that a supervisor should not try to be a psychologist. Offering your people understanding is one thing; trying to deal with deep psychological problems is another matter entirely.

HOW TO CRITICIZE A SUBORDINATE When criticism is required, it should be done in a manner that lets the person maintain his or her dignity and sense of worth. Specifically, criticism should be done in private and should be done constructively. Provide examples of critical incidents and specific suggestions of what could be done and why. Avoid once-a-year "critical broadsides" by giving feedback on a daily basis, so that at the formal review there are no surprises. Never say the person is "always" wrong (since no one is ever "always" wrong or right). Finally, criticism should be objective and free of any personal biases on your part.

HOW TO ENSURE THAT THE APPRAISAL INTERVIEW LEADS TO IMPROVED PERFORMANCE You should clear up job-related problems and set improvement goals and a schedule for achieving them. In one study the researchers found that whether or not subordinates expressed satisfaction with their appraisal interview depended mostly on three factors: (1) not feeling threatened during the interview; (2) having an opportunity to present their ideas and feelings and to influence the course of the interview; and (3) having a helpful and constructive supervisor conduct the interview.⁷⁷

However, you don't just want subordinates to be satisfied with their appraisal interviews. Your main aim is to get them to improve their subsequent performance. Here researchers found that *clearing up job-related problems* with the appraisee and *setting measurable performance targets and a schedule for achieving them*—an action plan—were the actions that consistently led to improved performance.

HOW TO HANDLE A FORMAL WRITTEN WARNING There will be times when an employee's performance is so poor that a formal written warning is required. Such written warnings serve two purposes: (1) They may serve to shake your employee out of his or her bad habits, and (2) they can help you defend your rating of the employee both to your own boss and (if needed) to the courts. Thus, written warnings should identify the standards under which the employee is judged, make it clear that the employee was aware of the standard, specify any violation of the standard, and show the employee had an opportunity to correct his or her behavior.